

been on the shareowners' roster a sufficient length of time are accorded increased voting rights, preferential treatment, and much more respect. Those who have climbed on board more recently are seated at the back of the bus or disenfranchised altogether.

When confronted with a perceived threat to their sovereignty, managers have learned to portray themselves as long-term visionaries and their dissident stockholders as short-term opportunists.

An example of this indentured shareholder concept is the creation of dual classes of stock, with one class bestowing "super" voting rights on its holders. Another is the adoption of waiting periods before new shareholders are entitled to vote on an equal basis with other shareholders. One variation on the separate-and-unequal theme is the selective self-tender. This tactic, recently employed against Mesa by Unocal, excludes a specified shareholder from participating in a corporate stock repurchase. Like other discriminatory defensive tactics, the tactic allows companies, on the basis of their perceived objectives, to deny full rights of ownership to selected shareholders.

Although they take different forms, these strategies to differentiate classes of owners are alike in one respect: they effectively cast aside the traditional tenet of stockholder equality and give managements the ability to categorize, divide, and conquer.

... THAT'S PURE HOKUM

On a rational level, the short-term theory attracts support because it seems plausible to those not closely involved with